Chapter 6: Property, Plant & Equipment

Practice Questions

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1) Which of the following is/are correct?

(i) Property, plant and equipment are initially measured at cost.
(ii) PPE is initially measured at fair value less depreciation.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

2) Which of the following is/are directly attributable costs?

(i) Cost of site preparation
(ii) Staff training cost after asset is ready for use

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

3) Which of the following is/are correct regarding recognition of PPE?

(i) PPE is recognized when future economic benefits are probable.
(ii) PPE is recognized only when the asset is actually used.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

4) Which of the following is/are correct regarding subsequent expenditure?

(i) Improvement costs are capitalized if recognition criteria are met.
(ii) Routine maintenance costs are capitalized.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

5) Which of the following is/are correct?

(i) Minor part replacements are expensed when incurred.
(ii) Major part replacements having useful life of more than one year are capitalized.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

6) Which of the following is/are correct regarding depreciation?

(i) Depreciation is a systematic allocation of depreciable amount.
(ii) Depreciation represents a decline in market value of an asset.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

7) Which of the following is/are correct?

(i) Depreciable amount equals cost minus residual value.
(ii) Residual value is estimated at the time of acquisition.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

8) Which of the following is/are correct regarding commencement of depreciation?

(i) Depreciation starts when the asset is available for use.
(ii) Depreciation starts only when the asset is actually used.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

9) Which of the following is/are correct regarding depreciation charge?

(i) Depreciation is charged even if the asset is idle.
(ii) Under output method, depreciation may be zero if there is no production.

a) Only I is correct
b) Only II is correct

c) Both are correct
d) None is correct

10) Which of the following is/are correct regarding straight-line method?

(i) Same amount of depreciation is charged every year.
(ii) Depreciation is charged on written down value.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

11) Which of the following is/are correct regarding reducing balance method?

(i) Depreciation decreases every year.
(ii) Depreciation is calculated on opening net book value.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

12) Which of the following is/are correct regarding review of depreciation estimates?

(i) Useful life and residual value must be reviewed at each year-end.
(ii) Changes in estimates are applied retrospectively.

a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

13) Which of the following is/are correct?
(i) All Property, Plant and Equipment is not depreciated
(ii) Depreciation is started in straight-line method when asset is available for use.
a) Only I is correct
b) Only II is correct
c) **Both are correct**
d) None is correct

14) Which of the following is/are correct?
(i) Revenue expenditure is considered as an expense
(ii) Capital expenditure is considered as expense as its effect is for long term.

a) **Only I is correct**
b) Only II is correct
c) Both are correct
d) None is correct

15) Which of the following is not capitalised as a directly attributable cost of a machine?
a) Site preparation
b) Initial testing cost
c) **Carriage inward for fuel for machinery**
d) Installation and assembly cost

16) Which of the following is not a component of the cost of an asset?
a) Purchase price
b) **Refundable sales tax**
c) Import duties
d) Installation and assembly cost

17) Tom Limited runs a sports equipment manufacturing business with a year end of 31 December 2019. On 1 April 2019, Tom Limited acquired a delivery truck at a cost of Rs. 4,800,000. The expected life of the truck is 8 years and residual value is expected to be nil. What is depreciation charge for 2019 on straight-line basis?
a) Rs. 600,000
b) **Rs. 800,000**
c) Rs. 450,000
d) Rs. 500,000

18) Saga Sports Limited (SSL) runs a sports equipment manufacturing business with a year end of 31 December 2022. SSL acquired a delivery truck at a cost of Rs. 4,800,000 on 1 April 2022. It has an estimated useful life of 8 years and residual value is expected to be nil. If the straight line method is used for depreciation, what will be the depreciation charge for the year ended 31 December 2022?
a) Rs. 600,000
b) Rs. 800,000
c) **Rs. 450,000**
d) Rs. 400,000

19) Which of the following statements are correct?

1. Sum of digits method and reducing balance method give higher depreciation in early years.

2. Straight line method and sum of digits method compute depreciation over economic life.
   a) **Both are correct**
   b) None is correct
   c) Only 1
   d) Only 2

20) Which of the following is/are correct?

(i) Land is not depreciated because it has an indefinite useful life.
(ii) All items of property, plant and equipment are depreciated.
a) Only I is correct
b) Only II is correct
c) Both are correct
d) None is correct

21) Which of the following statements are correct?

1. Depreciation commences in straight line and sum of years' digit method when the asset is available for use.

2. PPE is initially measured at fair value less depreciation
   a) **Both are correct**
   b) None is correct
   c) Only 1 is correct
   d) Only 2

22) Which one is incorrect?

1. All items of property, plant and equipment must be depreciated.

2. Depreciation should commence in straight line method when asset is available for use.
   a) **Both are correct**
   b) None is correct
   c) Only 1
   d) Only 2

23) Find depreciation expense in third year of an asset from using the following data:
Cost of asset = 25 million, residual value = 2 million, reducing balance method having rate of 20%
After two years, company shifted its method to straight line with revised residual value 3 million and remaining useful life 6 years.
a) Rs 5,000,000
b) Rs 4,000,000

c) **Rs 2,166,667**

d) Rs 3,200,000

24) Find depreciation expense for the year ended 31 December 2021 from using the following data:

Cost of asset = 40,000 bought on 1 January 2015, residual value = 10,000, useful life = 10 years. Company used straight line method for depreciation.

On 1 January 2021, company changes its total useful life from 10 to 8 years.

a) 11,000

b) 8,000

c) **6,000**

d) 10,000

25) An entity imported a computer server machine having purchase price of Rs. 8.5 million. The entity further incurred the following cost:

Expenditure	**Amount**
Import duties	8%
Non-refundable taxes	5% of purchase price excluding import duties
Refundable taxes	10% of purchase price plus import duties
Insurance in transit	Rs. 240,000
Carriage inward	Rs. 450,000

The server should be capitalised at:

a) **Rs 10.295 million**

b) Rs 11.145 million

c) Rs 9.845 million

d) Rs 10.055 million

26) A company purchased a machine for Rs. 25 million having residual value of Rs. 2 million. The machine is being depreciated @15% using reducing balance method. After two years, the company decided to change its depreciation estimate to straight-line method. The remaining useful life of the machinery is 5 years with residual value of Rs. 3 million. The NBV (net book value) at third year is approximately:

a) Rs. 15.05 million

b) Rs. 12.15 million

c) Rs. 11.50 million

d) Rs. 14.05 million

27) A company purchased a manufacturing plant for Rs. 25 million having residual value of Rs. 3 million. The plant is being depreciated @20% per annum using reducing balance method. What would be the NBV (net book value) of the plant after third year?

a) Rs. 11.8 million

b) Rs. 14.3 million

c) Rs. 12.8 million

d) Rs. 10 million

28) A motor vehicle was purchased for Rs. 1,395,000 on 1 July 2018. It has an estimated useful life of 5 years and residual value of Rs. 255,000. If the sum of digit method is used for depreciation what will be the carrying amount of the motor vehicle as at 30 June 2020?

a) Rs. 303,000

b) Rs. 456,000

c) Rs. 711,000

d) Rs. 558,000

29) If a PPE remains idle for whole year, the depreciation expense for the year will be NIL under:

a) Straight line method

b) Units of production method

c) Reducing balance method

d) All of the above method

30) The purpose of depreciation is to:

a) Recognize that asset lose value overtime

b) Write the asset down to its realizable value at the end of each period

c) **Allocate the depreciable cost on a systematic basis over the asset's useful life**

d) Accumulate a fund for asset replacement

31) An entity acquired laptops in exchange of desktops which have carrying amount of Rs. 450,000 and fair value of Rs. 300,000 at the date of exchange. The list price of the laptops acquired is Rs. 600,000. The entity is also required to pay cash of Rs. 275,000 in this exchange transaction.

The laptops should be initially recognized at:

a) Rs. 300,000

b) **Rs. 575,000**

c) Rs. 450,000

d) Rs. 600,000

32) The cost of a wastebasket having an estimated useful life of 5 years is charged off as an expense upon purchase. This is an example of the application of the:
a) Consistency
b) Matching principle
c) **Materiality concept**
d) Prudence concept

33) A company uses the reducing balance method to depreciate its fixed assets. The annual rate is 20%. After three years the proportion of original cost still underappreciated will be:
a) **51.2%**
b) 48.8%
c) 40.0%
d) Impossible to determine. It depends on the estimated residual value.

34) Which of the following should be accounted for as capital expenditure?
a) Annual cost of painting a factory floor
b) The repair of a window in a building
c) The purchase of a vehicle by a garage for resale
d) **Legal fees incurred on purchase of building**

35) Which of the following is/are correct?

1. All items of property, plant and equipment are tangible but all tangible assets are not property, plant and equipment
2. All items of property, plant and equipment are non-current assets but all non-current assets are not property, plant and equipment

a) **Both are correct**
b) None is correct
c) Only 1 is incorrect
d) Only 2 is incorrect

36) What is the relationship between useful life and scrap value in depreciation expense formula?
a) Direct
b) **Inverse**
c) Constant
d) No relation

37) If net book value of an asset after charging first year depreciation is 9.2 million at rate of 20% per annum. What will be depreciation of year 1 and year 2 under reducing balance

method?

a) Rs. 1.41m and Rs. 1.84m

b) Rs. 2.5m and Rs. 1.84m

c) Rs. 1.84m and Rs. 1.84m

d) **Rs. 2.3m and Rs. 1.84m**

38) Which of the following statements are correct?

(i) Sum of digit method and reducing balance method gives higher depreciation in early years.

(II) Straight line method and sum of digits method compute depreciation over economic life.

a) **Only 1 is correct**

b) Only 2 is correct

c) Both are correct

d) None is correct

39) At the end of useful life accumulated depreciation is:

a) **Same in straight line and reducing balance method**

b) Less in straight line compared to reducing balance method

c) Less in reducing balance compared to straight line method

d) None of these

40) An item of plant was purchased on 1 April 2008 for Rs. 2,000,000 and is being depreciated at 25% on a reducing balance basis.

What would be its residual value after its useful life of 5 years?

a) Rs. 632,809

b) Nil

c) Rs. 400,000

d) **Rs. 474,609**

41) Accumulated Depreciation affects calculation of Depreciation under which method?

a) Straight line method

b) **Reducing balance method**

c) Both a and b

d) None of these
